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The Macroeconomic Spillovers From AI Electricity Demand

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- Electricity prices rose 6.9% year-over-year through December 2025, well above headline PCE inflation of 2.9%. Looking ahead, strong demand for data centers to power AI models will likely boost power demand further. In this week's *Analyst*, we assess the outlook for electricity prices and explore their spillover effects to consumers and non-AI businesses.
- We see two key drivers of the outlook for electricity inflation. First, we expect data centers to boost electricity demand significantly, accounting for about 40% of total power demand growth over the next five years. At the same time, regulatory delays and staffing and materials shortages will likely keep supply growth slow, which will tighten some regional markets significantly (like the Midwest, California, and Mid-Atlantic regions) and push up wholesale power prices. Second, we expect utility capex to increase as companies expand supply to meet high demand, which will raise utility costs and therefore electricity prices.
- Taken together, we expect consumer electricity inflation to remain around 6% in 2026-2027 before decelerating to about 3% in 2028 on lower natural gas prices. We expect electricity prices for non-AI businesses to rise by a similar amount. The ultimate trajectory of electricity prices will vary significantly across the country and will depend on each region's market structure and regulatory choices. In a scenario in which non-AI customers bear half of the incremental cost of data center-related capex going forward (vs. a third in our baseline), we estimate that electricity prices would increase about 8% on average in 2026-2027 and 4% in 2028-2030.
- We expect higher electricity prices to directly boost headline PCE inflation by 0.1/0.07/0.05pp in 2026/2027/2028. In addition, we expect higher power prices to push up core inflation as businesses pass through higher costs to consumers. Using our cost passthrough models, we estimate that higher power prices will boost core PCE inflation by 0.1/0.1/0.05pp in 2026/2027/2028. The medical, transportation, and food services components account for about half of our estimated boost to core PCE.
- We estimate that higher electricity prices will exert a roughly 0.2pp drag on consumer spending growth in 2026-2027 by lowering real disposable income. The income and spending drags will likely be larger for lower-income households because electricity accounts for a greater share of their spending, as well as for

households in areas with higher concentrations of data centers where regional power markets will tighten more.

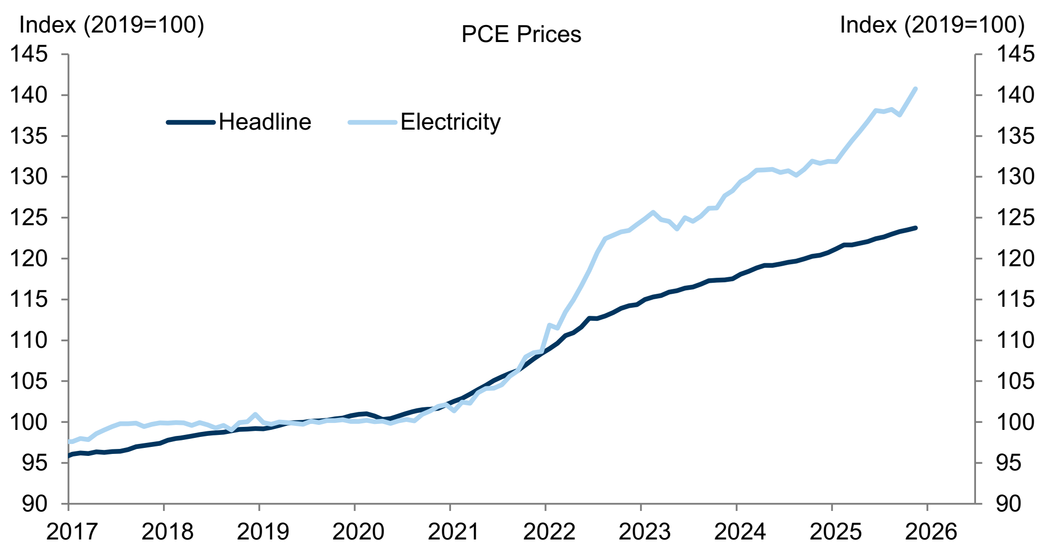
- Taken together, our estimates suggest that higher power prices will exert a roughly 0.1pp drag on GDP growth in 2026-2027, as the drag from higher prices on consumption is partially offset by a boost from higher utility capex. The output losses would be significantly larger if tight power markets increased the duration or frequency of power outages. In any case, our estimated growth effects are small compared to the large productivity uplift that we expect from AI: the present value of GDP losses from the AI boost to electricity prices in our forecast amounts to less than 3% of the present value of AI-induced GDP growth through 2035.

The Macroeconomic Spillovers From AI Electricity Demand

Electricity prices rose 6.9% year-over-year through December 2025 and 6.8% on an annual average basis since January 2022, well above headline PCE inflation of 2.9% and 3.4% respectively (Exhibit 1). Electricity inflation has varied significantly across states, from about 1% annualized in Louisiana and Nevada to 15% in Maryland and Maine since January 2022 (SA by GS).

Looking ahead, strong demand for data centers to power artificial intelligence (AI) models will likely push up power demand further.[1] In this week's *Analyst*, we assess the outlook for electricity prices and explore the potential spillover effects to consumers and non-AI businesses.

Exhibit 1: Electricity Prices Have Increased Faster Than Headline PCE Prices in Recent Years



Source: Goldman Sachs Global Investment Research, Department of Commerce

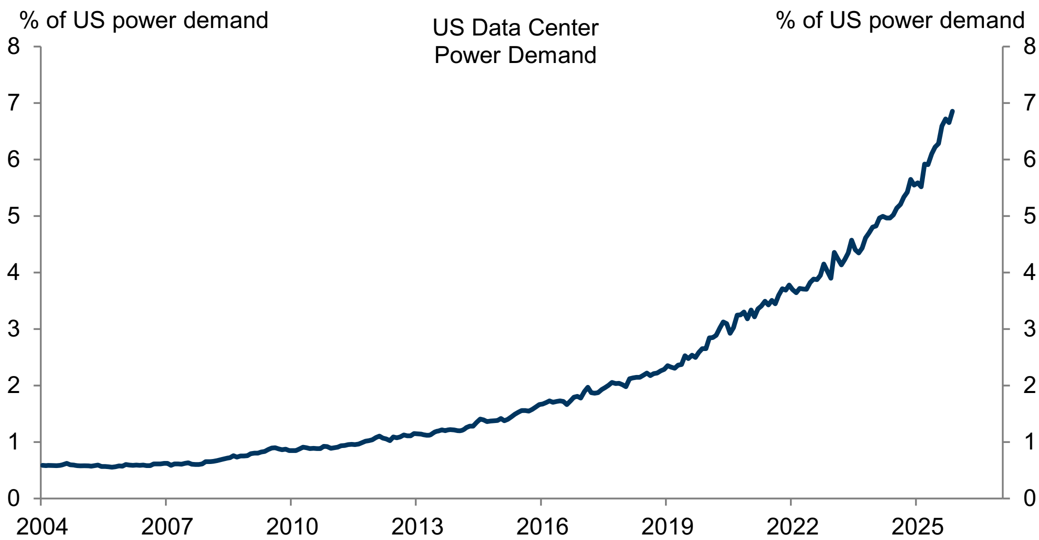
We see two key drivers of the outlook for US electricity inflation.

Strong Data Center Electricity Demand Meets Constrained Supply ...

First, we expect strong data center growth to boost power demand significantly over the next several years. Data centers still account for a relatively small share of US power demand, at about 7%, but that share has grown sharply in recent years. Going forward, our equity analysts expect strong data center-related demand to boost overall power demand by 1.2pp on average in 2026-2030, accounting for nearly half of overall demand growth of 2.6% annualized.

[1] Although AI will drive most of data center demand growth in the coming years, our equity analysts also expect growing non-AI demand (e.g. cloud infrastructure) to support data center demand. We consider both types of data center in our analysis.

Exhibit 2: Data Center Power Demand Has Increased Sharply Recently, and We Expect It to Continue to Boost Power Demand

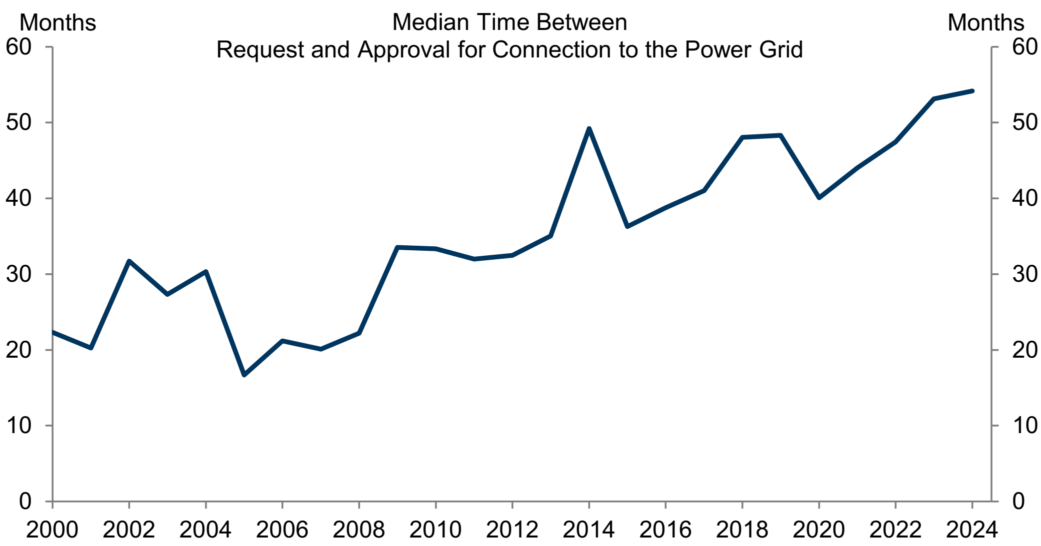


Source: Goldman Sachs Global Investment Research, Department of Energy, Aterio

At the same time, we expect power supply to increase only slowly to meet higher demand, as generation capacity takes a long time to be brought online. Based on scheduled capacity additions reported by the Energy Information Administration (EIA), we expect power capacity to grow by about 1.1% over the next few years. Generation from renewable energy sources will likely grow more quickly than traditional generation, but its capacity to supply power fluctuates more over the course of the year.

There are several bottlenecks to faster supply growth. Regulatory approval times for connecting new supply to power grids have increased significantly in recent years, and the median time between project proposals and approvals is now up to 4½ years from under 2 years in 2000 (Exhibit 4). This long queue prevents incremental natural gas capacity beyond what was scheduled from coming online before 2030. In addition, the rush to increase generation capacity is running up against shortages of both specialized equipment like gas turbines and qualified labor, which takes several years to train.

Exhibit 3: It Now Takes 4½ Years for Power Suppliers Seeking to Connect to the Grid to Get Regulatory Approval to Do So

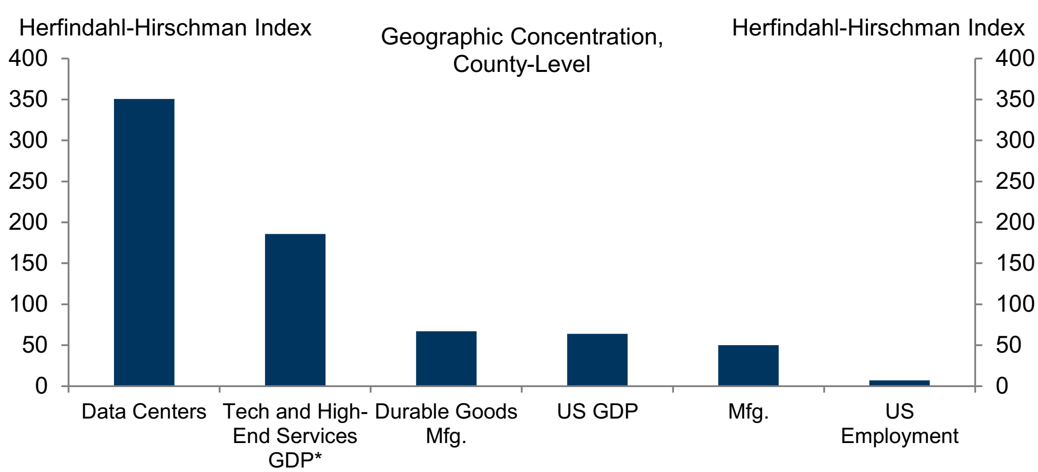


Source: Goldman Sachs Global Investment Research, Lawrence Berkeley National Laboratory

... Which Will Push Up Wholesale Power Prices for Some Regional Markets in the Near Term ...

The combination of strong demand and sluggish supply will likely increase power prices in regional wholesale markets—where most utilities and other market participants procure electricity before delivering it to final customers. We expect this pressure to be much more acute in a few markets than the US as a whole because data centers are highly geographically concentrated (Exhibit 5). Indeed, about 1% of all US counties account for about 70% of data center capacity.

Exhibit 4: Data Centers Are Very Geographically Concentrated

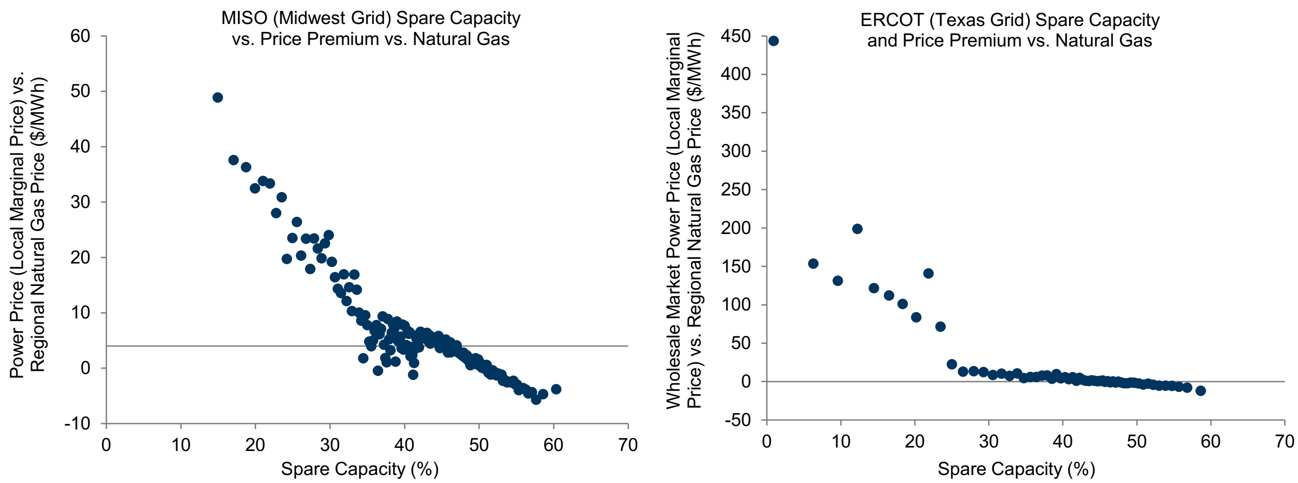


* Sum of information and professional, scientific, and technical services GDP.
Note: The Herfindahl-Hirschman Index (HHI) is the sum of squared market shares for each of its constituents. A higher level indicates more concentration.

Source: Goldman Sachs Global Investment Research, Department of Commerce, Aterio

To gauge which markets are likely to see the most pressure, we use hourly demand and price data to estimate empirical supply curves for several large Independent System Operators (ISOs) and Regional Transmission Organizations (RTOs), which operate wholesale power markets for much of the US.[2] As shown in Exhibit 6 for the Midwest and Texas markets, wholesale power prices spike as capacity approaches low levels. We find similar relationships across the ISOs and RTOs we consider.

Exhibit 5: Wholesale Power Prices Increase Sharply as Spare Capacity in the System Declines



Note: Based on hourly data. Scatters are binned.

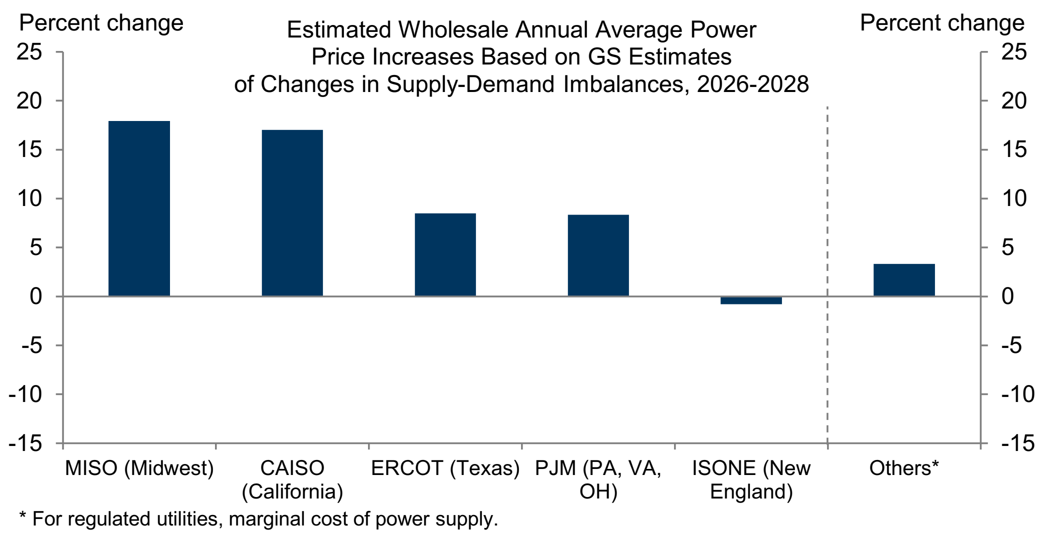
Source: Goldman Sachs Global Investment Research, Department of Energy, MISO, ERCOT

In Exhibit 6, we combine the empirical relationships we found above with our power strategists' estimates of changes in power market tightness over the next couple of years, which are based on their expectations of where data center-related power demand will increase the most relative to each region's planned supply additions.[3] Our results suggest that tightening power markets could push up wholesale power prices in the Midwest, California, Texas, and Mid-Atlantic regions much more than in the US as a whole.

[2] We follow our strategists in considering "spare capacity"—the gap between power supply (capacity adjusted for the maximum effective quantity that it can serve) and demand as a share of supply—as our measure of each market's tightness. For our price measure, we take the difference between prices in the wholesale market and regional natural gas prices to control for changes in natural gas prices over time.

[3] Specifically, we grow capacity and hourly demand in 2025 by our expectations of supply and demand growth for each region and estimate the resulting price on an hourly basis using our empirical supply curves like those we showed in Exhibit 5. Wholesale power markets settle most of their electricity in "day-ahead" markets, which are run the day before power is delivered.

Exhibit 6: We Expect Particularly Tighter Power Markets to Result in the Largest Wholesale Price Increases in the Midwest, California, and Texas



Source: Goldman Sachs Global Investment Research

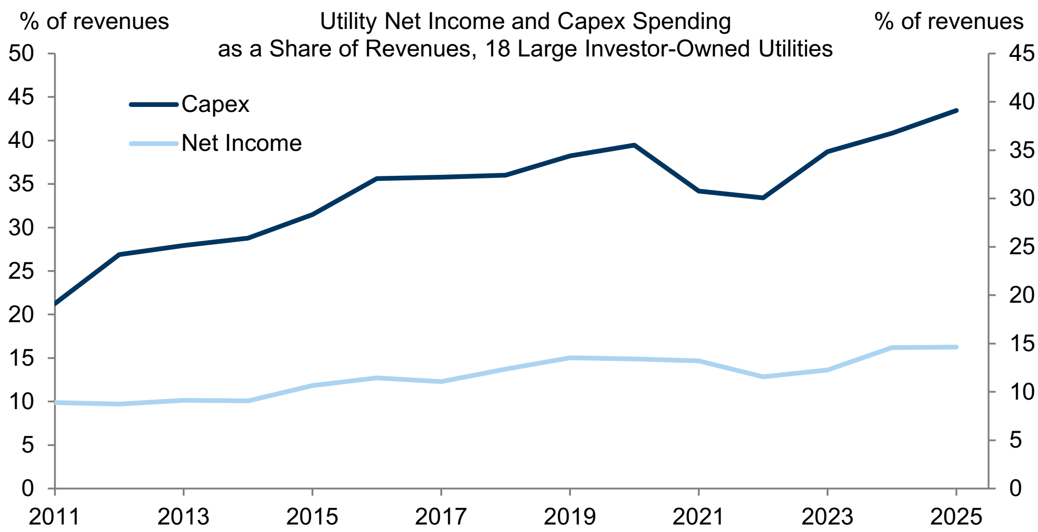
We make a few caveats to these results. First, the supply curves we obtained in Exhibit 5 represent short-term relationships in daily markets, and power supply will likely prove more flexible over a full year than it does on a daily basis. Second, policy responses to limit incremental demand growth could limit the upside to prices, as we will discuss below. Third, our spare capacity measure compares demand to the capacity that is available in the summer when power markets are tightest, and the relationship between peak and non-peak capacity and prices could change.

... And Incentivize More Capex to Build Out Capacity in the Medium Term

Second, we expect utility capex spending to increase significantly in response to the supply-demand imbalances we described above. Since utilities generally earn a pre-set return on investment from invested assets that is typically financed through higher prices (we discuss this further below), higher capex is likely to push up electricity inflation.

In recent years, capex has become the most important driver of electricity inflation, as utilities invested upgrading the grid, transitioned to renewable energy, and replaced retiring coal plants. Exhibit 7 shows that capex spending as a share of revenues increasing significantly since the 2010s (Exhibit 7).

Exhibit 7: Utility Capex Has Increased Much Faster Than Revenues Over the Last Several Years



Source: Goldman Sachs Global Investment Research, Company data

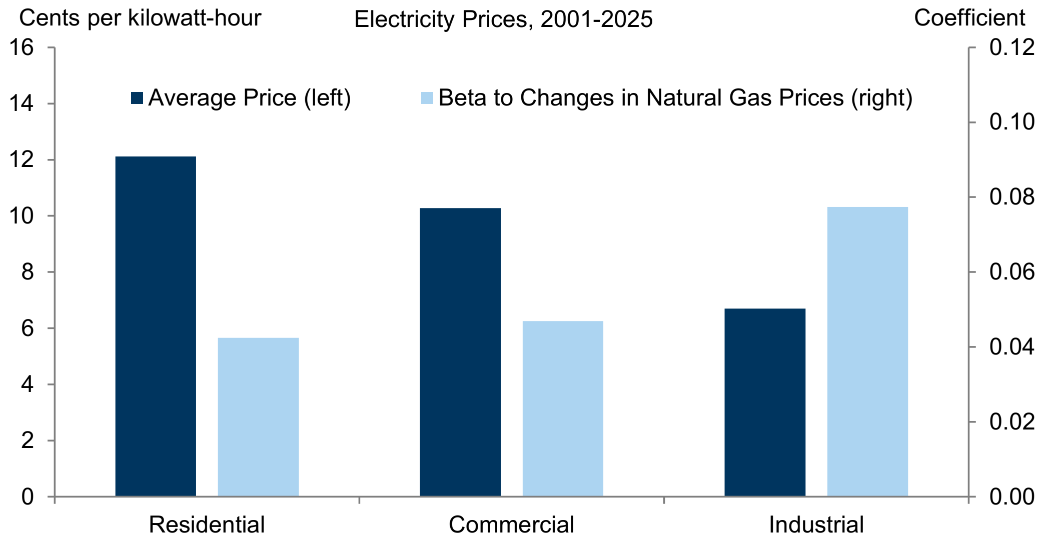
Going forward, utility companies expect to increase capex spending significantly further to meet surging power demand. Because forecasts a few years out tend to be revised up over time, our baseline scenario for capex takes companies' current capital plans and incorporates the typical relationship between their forecasted and actual capex. In our base case, we expect utility capex to increase by about 7% on average in 2025-2029.

Recent auctions from regions that host "capacity markets"—which compensate power producers for building and guaranteeing generation capacity several years out—also suggest that meeting strong demand will require significant investment. PJM (the market operator for the Mid-Atlantic region covering Pennsylvania, Virginia, Ohio, and neighboring states) held capacity auctions in late 2025 that cleared at prices 2-3 times higher than their typical pre-pandemic levels (and even higher relative to 2022-2023 levels).

Who Pays for Higher Costs?

Utilities and their regulators decide how to allocate higher power costs between households and businesses. Because serving residential customers requires building more infrastructure—more power lines and customer service, for example—households and small businesses typically pay for a large share of capex costs. In contrast, industrial customers require less capex but are a lot more energy intensive, so they are more exposed to spot conditions in power markets and changes in fuel prices.

Exhibit 8: Capex and Other Fixed Costs Account for a Larger Share of Residential Electricity Prices; Business Customers Are More Exposed to Swings in Variable Fuel and Wholesale Power Costs



Source: Goldman Sachs Global Investment Research, Department of Energy

The infrastructure investment that data centers require will largely serve the data centers themselves. As a result, regulators have recently developed strategies that try to avoid spreading these costs to other electricity customers (Exhibit 9).

While we expect these policies to shift a significant share of future utility capex costs to the data center companies, it will be difficult to fully insulate households and non-AI businesses from price increases because 1) the policies often don't cover all aspects of data center grid costs; 2) AI companies may choose locations that are more lenient on passing through higher prices to other customers; 3) it is difficult to pin down how much of a given increase in costs can be fully attributed to data centers; and 4) power prices can spike before the policies are implemented.

In our forecasts, we assume that data centers bear about two thirds of the excess capex costs required to service data centers (which we proxy by capex in excess of nominal GDP growth), an while households and businesses finance the other third. Within that third, we assume that consumers bear two thirds of the capex costs and non-AI businesses the rest.

Exhibit 9: Recent Policies Have Tried to Get Data Center Companies to Fund a Larger Share of the Costs of Higher Power Demand

Policy Responses to Increased Power Demand Growth			
Date	Utility	State	Policy
Proposed Jan-26, White House and Governors	PJM	Mid-Atlantic (PA, VA, OH, etc.)	Require data center companies to participate in emergency wholesale electricity auctions to fund long-term contracts for new generation capacity
Jan-26	Southwest Power Pool	KS, OK, AR, others	90-day approval for large loads; customers pay for any infrastructure upgrades undertaken while they are given provisional access to the grid
Jan-26	Colorado Springs Utilities	Colorado	Customers demanding >10 MW have minimum 10-year contract terms, are responsible for transmission cost upgrades and line extensions
Approved Nov-25 Effective Jan-27	Dominion Energy	Virginia	Customers demanding >25 MW have to pay 85% of distribution and transmission demand and 60% of generation demand, with 14-year contracts
Aug-25	Arkansas Electric Cooperative Corporation	Arkansas	Customers demanding >50 MW can be charged for transmission costs related to their power demand
Jul-25	American Electric Power	Ohio	Customers demanding >25MW have to pay at least 85% of contracted capacity
Jul-25	El Paso Electric	Texas	Customers demanding >50 MW must pay at least 80% of contract capacity monthly and face interruptible loads
Jun-25	All electric utilities (legislation)	Oregon	Utilities must create a separate rate class for data centers, with prices that recover the full costs of electricity provision
Jun-25	All electric utilities (legislation)	Texas	Transmission and distribution utilities must pass through costs fully to data center customers
Mar-25	Kentucky Power	Kentucky	Customers demanding >150 MW face minimum 20-year contracts and must pay at least 90% of contract capacity on a monthly basis
Feb-25	American Electric Power	Indiana, Michigan	Customers demanding >50 MW must pay for 80% of contracted capacity very month, requires 12-year contracts
Jan-25	Georgia Power (legislation)	Georgia	Customers demanding >100 MW have to pay for the full cost of electricity provision. State regulator must review these contracts.
Oct-24	Alliant Energy	Iowa	Customers demanding >25 MW face minimum 5-year contracts and measures to separate power supply and transmission costs from others

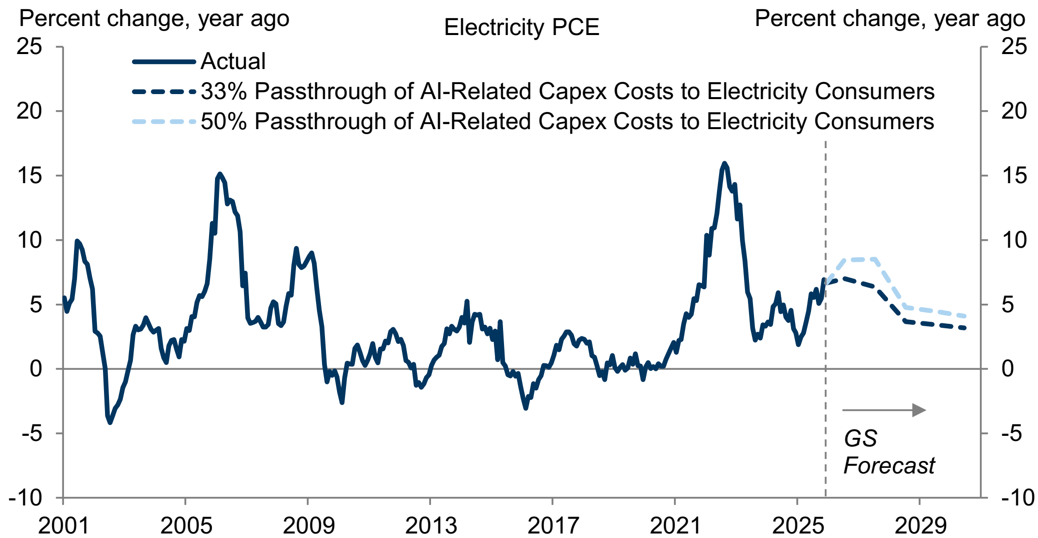
Source: Goldman Sachs Global Investment Research, DELTa Database

Electricity Prices and Inflation

To forecast electricity price inflation, we combine our strategists' natural gas price forecasts, power price increases from tighter regional power markets, and capex costs based on utilities' plans and capacity market auction results for the regions that host them. We also take into account the increase in taxes on the power sector from the OBBBA's repeal of the IRA and CHIPS energy credits.

Taken together, we expect consumer electricity inflation to remain around 6% in 2026-2027 before decelerating to about 3.5% in 2028 on lower natural gas prices (Exhibit 10). In a scenario in which non-AI customers bear half of the cost of higher capex (vs. a third in our baseline), we estimate that electricity prices would increase about 8% on average in 2026-2027 and 4% in 2028-2030. We expect electricity prices for non-AI businesses to rise by a similar amount in 2026-2027 but decelerate more sharply to about 2% in 2028 on lower natural gas prices.

Exhibit 10: We Expect Consumer Electricity Inflation to Remain Around 6% in 2026-2027 Before Decelerating to 3.5% in 2028; If Non-AI Customers Were to Bear Half of the Cost of Higher Capex, We Would Expect Electricity Prices to Rise 8% on Average in 2026-2027 and 4% in 2028-2030



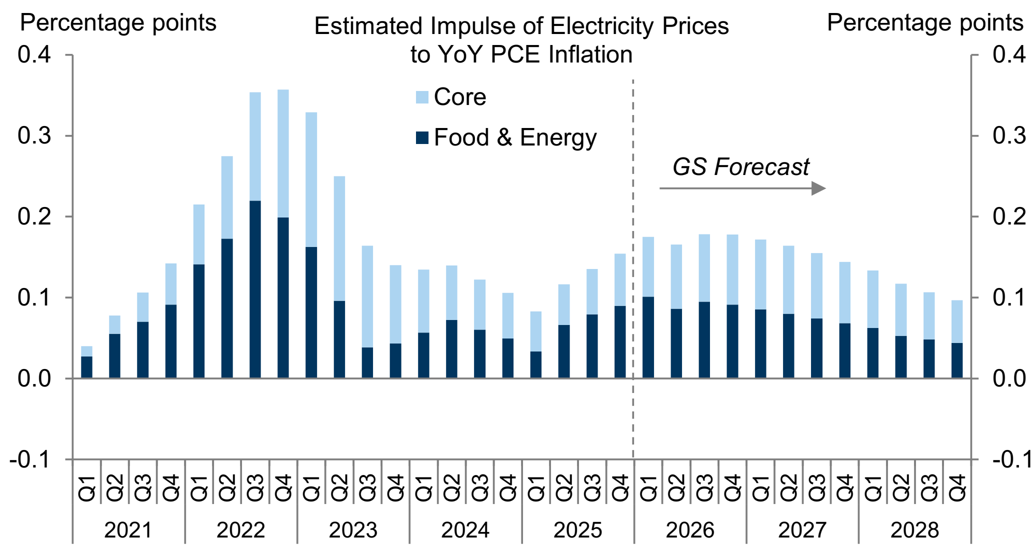
Source: Goldman Sachs Global Investment Research, Department of Commerce

We expect that higher electricity prices will directly boost headline PCE inflation by 0.1/0.07/0.05pp in 2026/2027/2028.

In addition, higher power prices will also put upward pressure on core inflation by raising business production costs. To estimate these effects, we adapt our commodity passthrough framework to the power sector. We estimate cost increases from higher electricity prices using the Bureau of Economic Analysis's input-output tables, and we quantify the passthrough and lags between electricity price increases using the same statistical framework we use for commodity prices. We do the same for capex prices.

Taken together, we estimate that higher electricity prices will indirectly boost core PCE inflation by about 0.1/0.1/0.05pp in 2026/2027/2028, with similar results for capex prices. The direct and indirect effects together imply a total boost to headline PCE inflation of about 0.2/0.15/0.1pp in 2026/2027/2028.

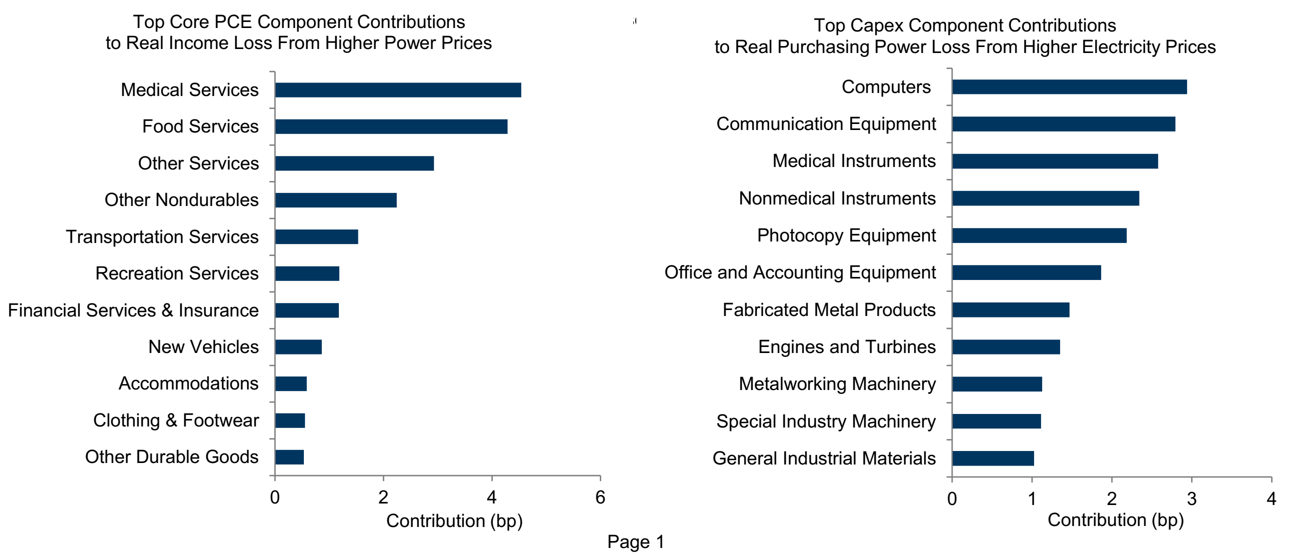
Exhibit 11: We Estimate That Higher Electricity Prices Will Boost Headline PCE Inflation Both Directly and Indirectly by about 0.2pp in 2026 and 0.15pp in 2027



Source: Goldman Sachs Global Investment Research, Department of Commerce

The medical services, food services, and transportation services components of PCE will likely contribute the most to upward pressure from higher power prices (left side of Exhibit 12). For capex, we estimate that the computers, communication equipment, and medical instruments categories will contribute the most to upward pressure from higher power costs (right side of Exhibit 12).

Exhibit 12: The Medical Services Sector Accounts for the Largest Boost to Core PCE Prices From Higher Electricity Costs; Computers, Communication, and Medical Equipment Account for the Largest Boosts to Capex Prices

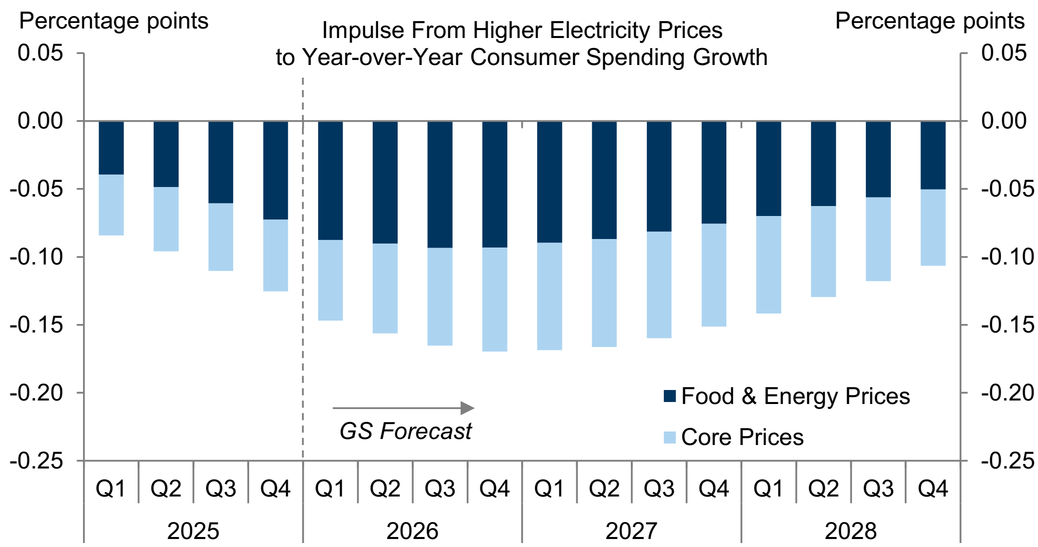


Source: Goldman Sachs Global Investment Research

The Economic Impact of Higher Electricity Demand

Higher prices will likely lower disposable income growth, which will exert a drag on consumer spending. Combining the headline and core inflation impacts from Exhibit 11, we estimate that higher electricity prices will lower consumer spending growth by 0.2pp on average in 2026-2027 (Exhibit 13).

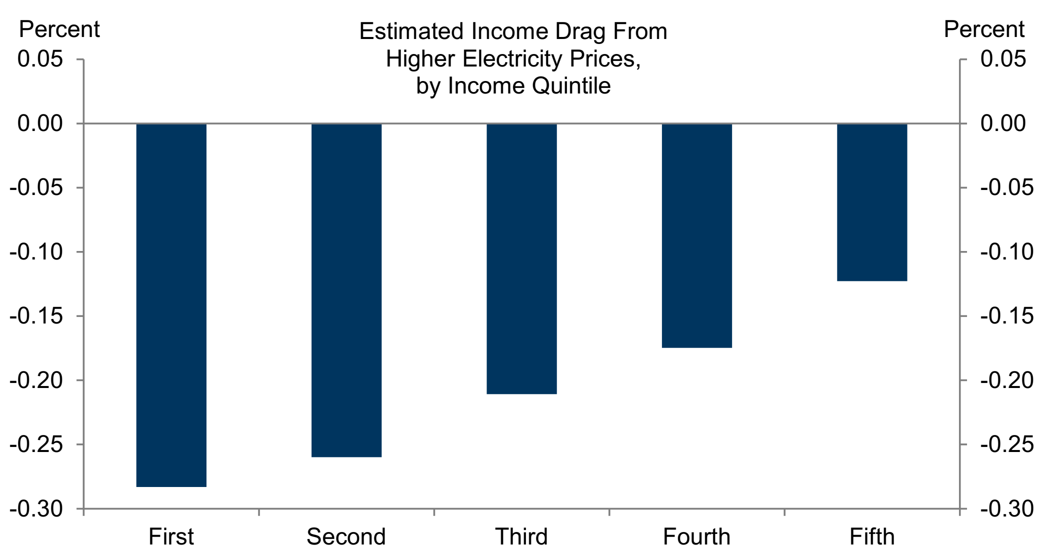
Exhibit 13: We Expect Higher Electricity Prices to Exert a Roughly 0.2pp Drag on Consumer Spending Growth in 2026 and 2027



Source: Goldman Sachs Global Investment Research

Exhibit 14 breaks down the hit to disposable income from higher electricity prices across income quintiles. We expect lower-income households to see the largest declines in both income and spending because electricity accounts for a greater share of their spending.

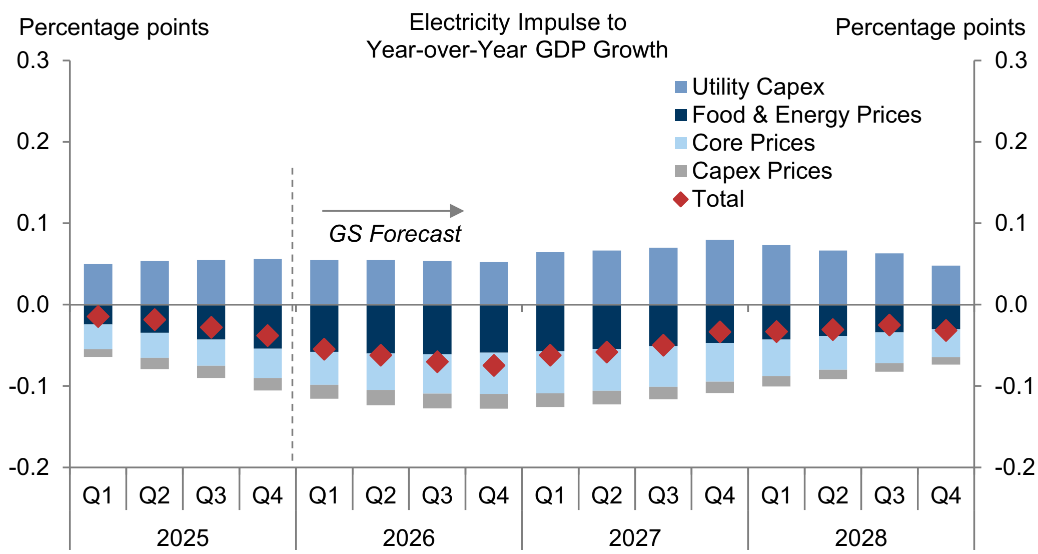
Exhibit 14: The Drag on Real Income Will Likely Be Larger for Lower-Income Households Because Electricity Accounts for a Greater Share of Their Spending



Source: Goldman Sachs Global Investment Research

In Exhibit 15, we aggregate our consumer spending and capex impulses to get an overall impact of higher electricity demand on growth. Our estimates suggest that higher electricity demand will exert a 0.1pp drag on GDP growth in 2026-2027, as lower consumption is partially offset by higher utility capex.

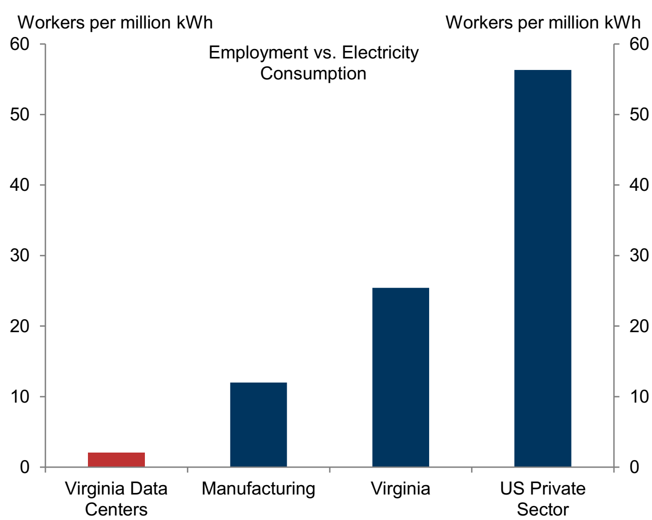
Exhibit 15: We Estimate That Higher Electricity Prices Will Exert a 0.1pp Drag on GDP Growth in 2026 and a Somewhat Smaller Drag in 2027, Reflecting Lower Consumption That Is Partially Offset by Higher Utility Capex

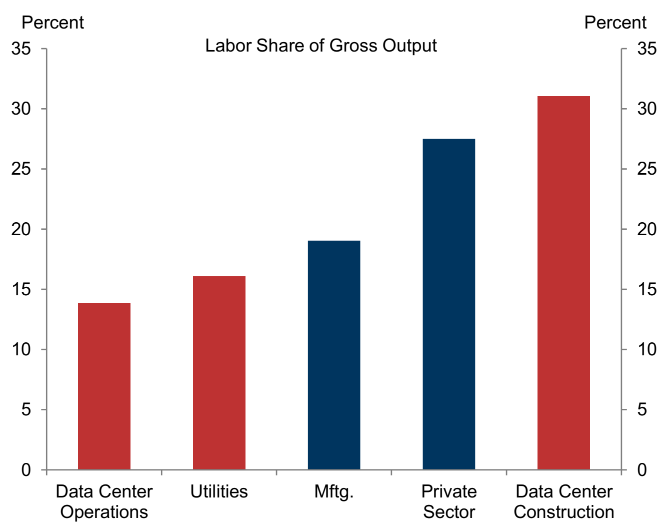


Source: Goldman Sachs Global Investment Research

While we estimate only modest nationwide effects from higher power prices, we expect larger real income losses in areas that have high concentrations of data centers, where prices will probably rise much faster than in the US as a whole (see Exhibit 6). In addition, because data centers employ relatively few workers (left side of Exhibit 16) and data center operations have a low labor share of output (right side of Exhibit 16), we do not expect labor income from data center operations to offset much of the drag from higher prices in these areas.

Exhibit 16: Data Centers Employ Very Few Workers Relative to Their Electricity Consumption; The Labor Share of Output From Data Center Operations Is Lower Than Other Sectors





Source: Goldman Sachs Global Investment Research, Department of Labor, Department of Commerce, Department of Energy, Northern Virginia Technology Council

We see risks to our estimates on both sides. On the one hand, more energy-efficient data centers, faster power supply growth, or slower demand (say because some companies set up their own generation "island" to bypass the grid entirely) would lead to less tight power markets and a smaller growth drag. On the other hand, continued supply snags or accelerated AI adoption would lead to a larger drag. The output losses would grow substantially if tight power markets increased the duration or frequency of power outages. Exhibit 17 shows that power outages cost the US economy about $8.4 per kilowatt-hour of power lost—almost 50 times the average price of electricity for residential customers.

Exhibit 17: Power Outages Cost the US Economy About $8.4 per Kilowatt-Hour

Author(s)	Event Considered	Estimated Effect	Approx. GDP Loss per kWh (2025 dollars)
Sue Wing et al. (2025)	Hypothetical power outages for a utility in Illinois	$1.8-15.2bn (80% from spillover responses)	65.0
Golding et al. (2021)	Storm-related power outages in Texas, February 2021	$4.3bn	5.7
Bhattacharyya et al. (2021)	1% inoperability of US utility sector, based on historical power outages	$11.6bn	9.7
Gunduz et al. (2017)	Sweden Gudrun storm	€3bn	9.0
Executive Office of the President (2013)	Hurricane Sandy	$14-26bn	13.5-25.1
Rose et al. (2007)	Simulated 2-week blackout in LA	$3-21bn	2.5-17.5
Greenberg et al. (2007)	Power reduction over two weeks in New Jersey	3.4-4.9% of GDP	2.0-2.9
Anderson et al. (2007)	Northeast blackout of 2003	$6.5bn	14.1
US-Canada Power System Outage Task Force (2004)	Northeast blackout of 2003	$4-10bn	16.5
Graves abd Wood (2003)	Northeast blackout of 2003	$6bn	13.1
National Weather Service (1998)	New England and Eastern Canada ice storm, January 1998	$5bn	6.2
Rose et al. (1997)	Hypothetical 15-week power outages from an earthquake in Memphis, Tennessee	0.6% of GDP	5.7
Caves et al. (1992)	Historical US electricity disruptions	$4 per kWh	8.4
Median			**8.4**

Source: Goldman Sachs Global Investment Research

These temporary effects are small compared to the large productivity uplift that we expect from AI, especially in the long run. Indeed, the present value of the GDP losses from the AI boost to electricity prices in our forecast amounts to less than 3% of our baseline estimates of AI-induced GDP growth.

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The US Economic and Financial Outlook

THE US ECONOMIC AND FINANCIAL OUTLOOK

(% change on previous period, annualized, except where noted)

						2025				2026			
	2023	2024	2025	2026	2027	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
OUTPUT AND SPENDING													
Real GDP	2.9	2.8	2.2	2.7	2.1	-0.6	3.8	4.4	1.6	3.1	2.6	2.1	2.1
Real GDP (annual=Q4/Q4, quarterly=yoy)	3.4	2.4	2.3	2.5	2.1	2.0	2.1	2.3	2.4	3.3	3.0	2.5	2.5
Consumer Expenditures	2.6	2.9	2.7	2.4	2.1	0.6	2.5	3.5	2.4	2.1	2.4	2.1	2.1
Residential Fixed Investment	-7.8	3.2	-2.4	-2.3	2.0	-1.0	-5.1	-7.1	-5.0	-3.0	1.5	2.0	2.0
Business Fixed Investment	7.3	2.9	4.2	5.0	4.1	9.5	7.3	3.2	3.9	5.8	5.8	5.0	4.4
Structures	16.7	1.1	-4.6	2.4	3.2	-3.1	-7.5	-5.0	5.3	4.0	5.0	4.0	3.0
Equipment	2.9	3.5	8.2	5.6	3.8	21.3	8.5	5.2	3.1	6.5	6.5	5.5	4.5
Intellectual Property Products	6.2	3.5	5.6	5.8	4.7	6.5	15.0	5.6	4.0	6.0	5.5	5.0	5.0
Federal Government	3.3	3.8	-1.2	1.6	0.9	-5.6	-5.3	2.7	-17.5	22.5	0.0	1.0	1.0
State & Local Government	3.6	3.8	2.5	0.8	1.2	1.9	3.1	2.0	0.5	0.3	0.3	0.5	1.0
Net Exports ($bn, '17)	-925	-1,033	-1,073	-953	-997	-1,381	-1,058	-956	-896	-929	-948	-962	-975
Inventory Investment ($bn, '17)	47	44	32	20	61	172	-18	-24	0	5	25	25	25
Nominal GDP	6.7	5.3	5.0	5.7	4.3	2.9	6.0	8.3	5.0	6.4	5.1	4.1	3.8
Industrial Production, Mfg.	-1.0	-1.0	1.0	2.5	3.2	4.0	2.5	2.8	-0.8	3.4	3.9	3.4	3.2
HOUSING MARKET													
Housing Starts (units, thous)	1,421	1,371	1,339	1,286	1,322	1,401	1,354	1,339	1,260	1,280	1,290	1,280	1,292
New Home Sales (units, thous)	665	685	674	670	644	655	665	696	680	690	690	662	638
Existing Home Sales (units, thous)	4,103	4,067	4,084	4,256	4,420	4,127	3,990	4,020	4,200	4,212	4,232	4,267	4,311
Case-Shiller Home Prices (%yoy)*	5.3	3.8	0.4	0.8	2.2	3.9	2.4	1.5	0.4	0.1	0.6	0.7	0.8
INFLATION (% ch, yr/yr)													
Consumer Price Index (CPI)**	3.3	2.9	2.7	2.0	2.0	2.7	2.5	2.9	2.8	2.5	2.7	2.4	2.2
Core CPI **	3.9	3.2	2.6	2.1	2.0	3.1	2.8	3.1	2.7	2.6	2.7	2.3	2.2
Core PCE** †	3.1	3.0	3.0	2.1	2.0	2.8	2.7	2.9	2.8	2.8	2.7	2.5	2.3
LABOR MARKET													
Unemployment Rate (%)^	3.8	4.1	4.4	4.5	4.4	4.2	4.1	4.4	4.4	4.5	4.5	4.5	4.5
U6 Underemployment Rate (%)^	7.2	7.6	8.4	8.7	8.6	7.9	7.7	8.1	8.4	8.6	8.7	8.7	8.7
Payrolls (thous, monthly rate)	216	168	49	64	90	111	55	51	-22	53	62	70	70
Employment-Population Ratio (%)^	60.1	59.9	59.7	59.5	59.3	59.9	59.7	59.7	59.7	59.6	59.5	59.5	59.5
Labor Force Participation Rate (%)^	62.5	62.5	62.4	62.3	62.1	62.5	62.3	62.5	62.4	62.4	62.3	62.3	62.3
Average Hourly Earnings (%yoy)	5.5	4.6	4.0	3.9	3.6	4.2	4.2	3.9	3.8	3.9	3.9	3.8	3.8
GOVERNMENT FINANCE													
Federal Budget (FY, $bn)	-1,694	-1,833	-1,775	2,050	2,200	--	--	--	--	--	--	--	--
FINANCIAL INDICATORS													
FF Target Range (Bottom-Top, %)^	5.25-5.5	4.25-4.5	3.5-3.75	3-3.25	3-3.25	4.25-4.5	4.25-4.5	4-4.25	3.5-3.75	3.5-3.75	3.25-3.5	3-3.25	3-3.25
10-Year Treasury Note^	3.88	4.58	4.18	4.20	4.25	4.23	4.24	4.16	4.18	4.20	4.20	4.20	4.20
Euro (€/$)^	1.11	1.04	1.17	1.22	1.24	1.08	1.18	1.17	1.17	1.17	1.21	1.21	1.22
Yen ($/¥)^	141	157	157	153	139	150	144	148	157	157	154	154	153

* Weighted average of metro-level HPIs for 381 metro cities where the weights are dollar values of housing stock reported in the American Community Survey. Annual numbers are Q4/Q4.

** Annual inflation numbers are December year-on-year values. Quarterly values are Q4/Q4.

† PCE = Personal consumption expenditures. ^ Denotes end of period.

Note: Published figures in bold.

Source: Goldman Sachs Global Investment Research.

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